

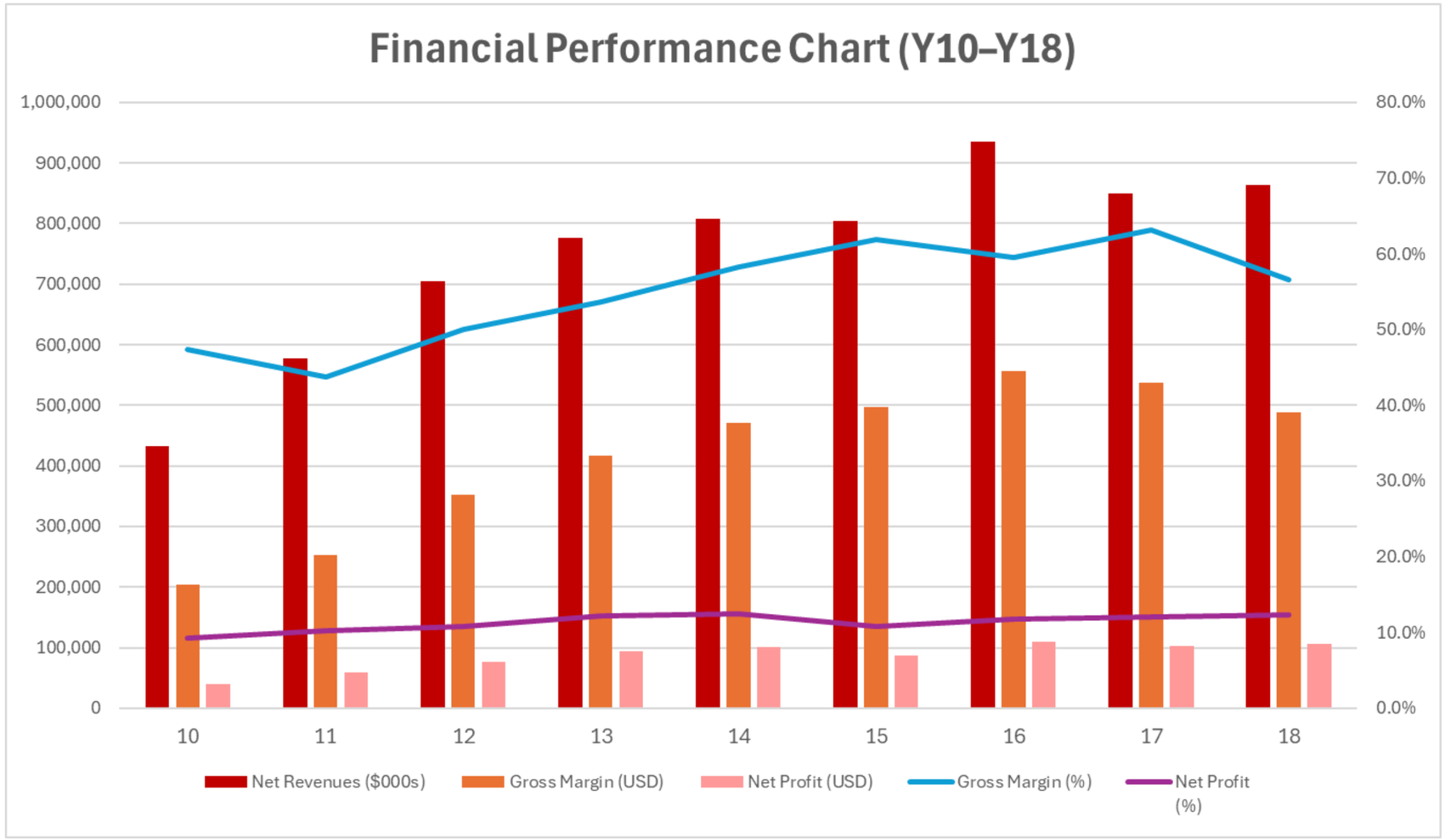
BSG COMPANY
PRESENTATION TO SHAREHOLDERS

EDIDUS

Smart Value for Smart Customers

EDIDUS COMPANY

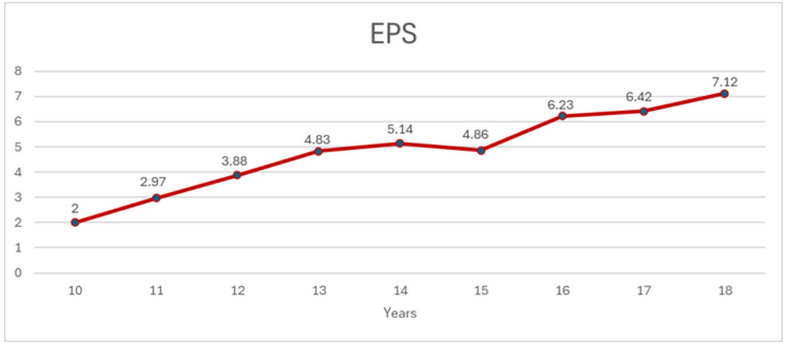
8-Year Performance Overview

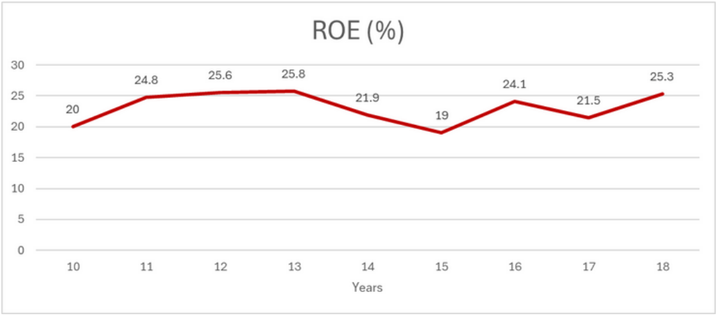


- **Revenue Expansion:** Net revenues nearly doubled, growing from $432K to $864K
- **Margin Improvement:** Gross margin rose from $204K to $488K, margin percentage increasing from 47.3% to 56.6%
- **Profitability Growth:** Net profit increased by 2.7x, from $40K to $107K, supported by improved profit margins (from 9.25% to 12.36%).
- **Sustainable Financial Health:** Consistent upward trends across revenue, margin, and profit metrics demonstrate a resilient and scalable business model.

EDIDUS COMPANY

8-Year Performance Overview











- **EPS** grew significantly from 2 to 7.12, a more than 3.5x increase.
- **ROE** remained strong, fluctuating between 20% and 25.3%, indicating efficient capital utilization.
- **Stock price** surged from $30 to $148.61, nearly a 5x increase, reflecting strong market confidence and sustained business growth.
- **Credit Rating** maintained at A level when capital is needed for big investment
- **Image Rating** kept at 70-80
- Despite short-term fluctuations, the overall trend across all three metrics shows consistent and positive growth.

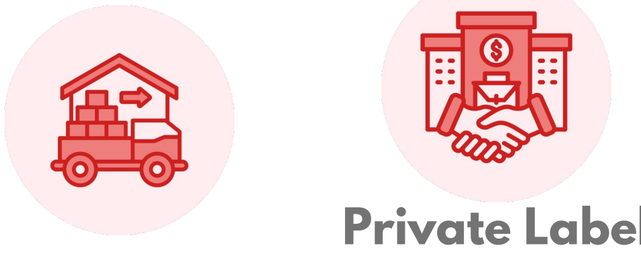
COMPETITIVE STRATEGY

Branded Footwear

EDIDUS follows a **Low-Cost Focused Strategy** targeting S/Q 5.5 – 6.5, aiming to provide affordable, reliable footwear with consistent quality across **all regions.**

FOCUS LOW COST STRATEGY

- Maintained image rating and profitability, proving cost efficiency and scale optimization.
- Continued tariff-neutral strategy by keeping **balanced capacity** in different regions and avoiding **over-concentration** of factories.
- Optimize cost-to-margin ratio through lean production.
- Sustain competitive pricing advantage over rivals while maintaining brand credibility.



Y11-Y13

Relied on **wholesale and private-label** contracts to ensure stable factory utilization and initial brand exposure.

Y14-Y16

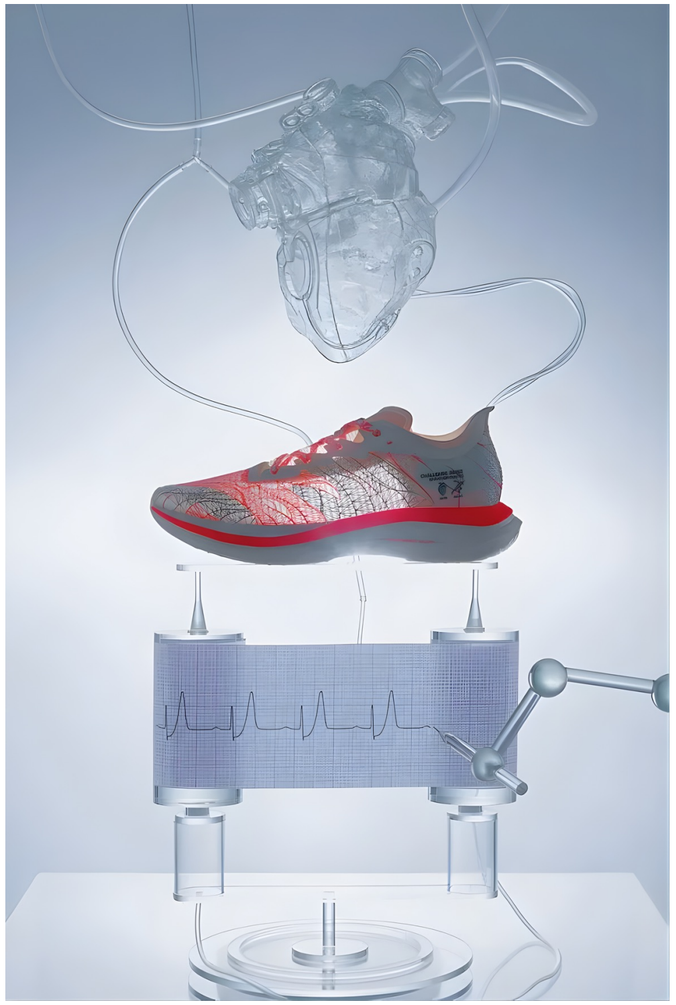
Reducing dependence on private label, redirected resources to **strengthen Wholesale and Internet** presence.

Y17-Y18

Branded sales became core of total net revenue: by Year 18, Internet + Wholesale reached **$864M (95% of total).**

COMPETITIVE STRATEGY

Private Label



Strategy

- Use private-label selectively for volume stability.
- Evaluated based on **margin comparison** with branded wholesale and internet sales.
- Set a **bottom target margin** per year, discontinuing low-return contracts.
- Support the core **focus low-cost branded strategy** rather than competing for private-label share.

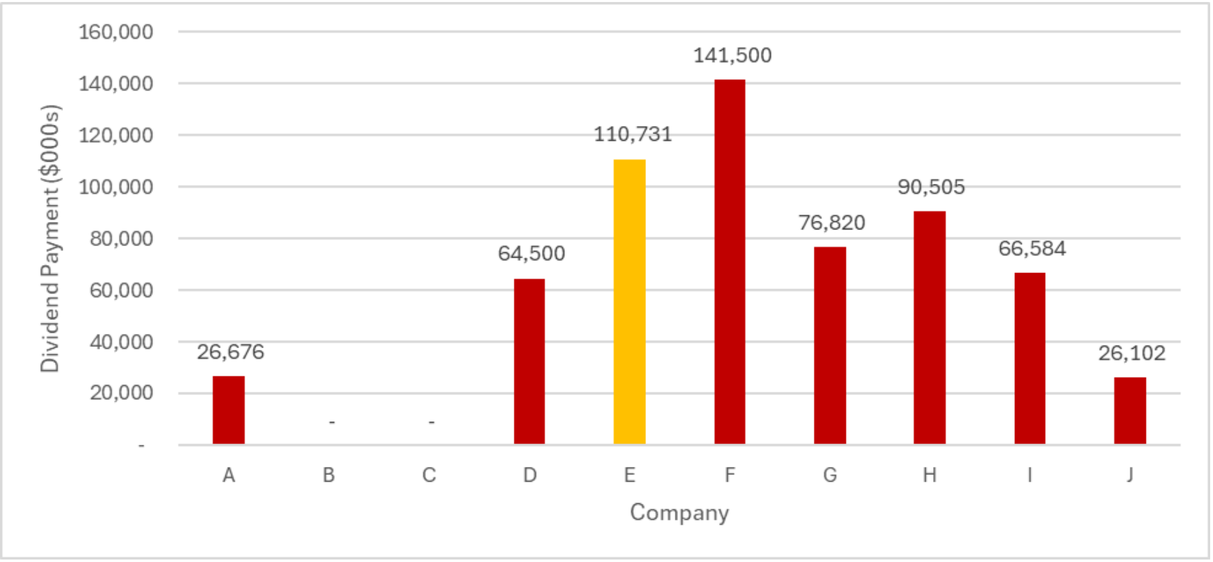
FINANCE STRATEGY

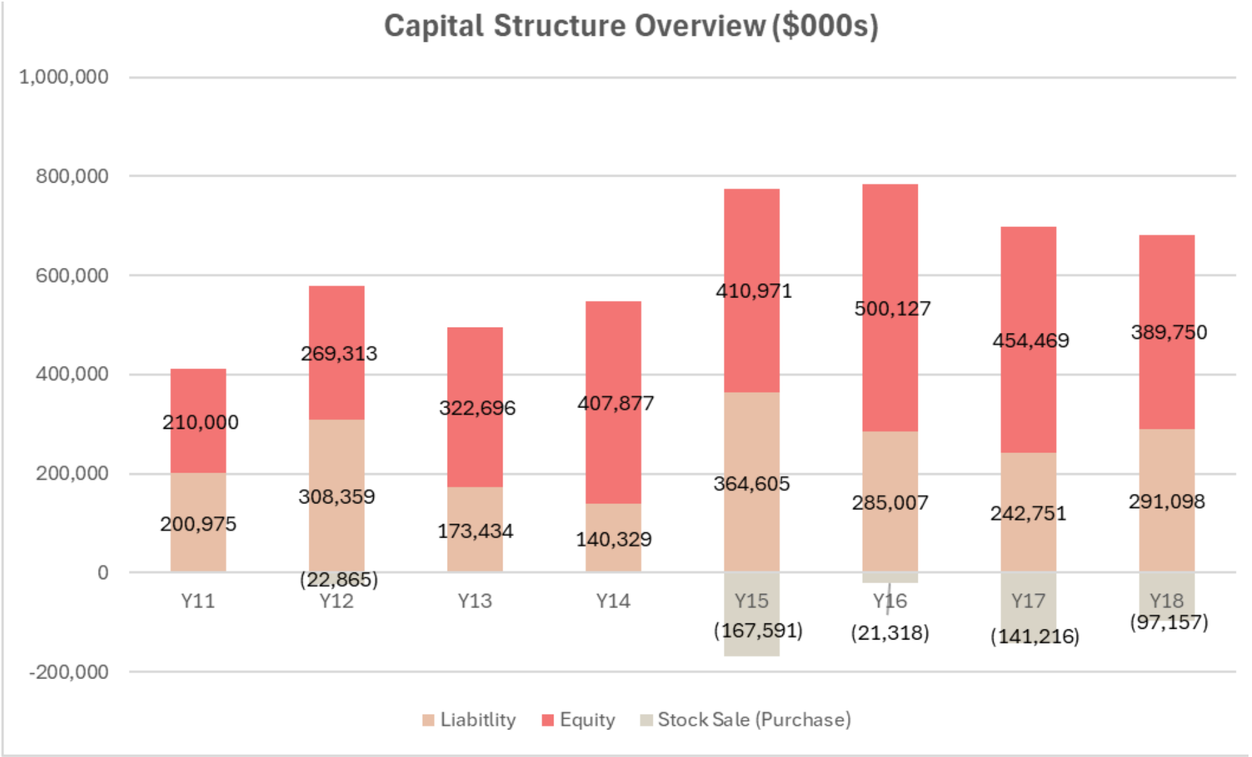
Strategic Equity Management

Equity Management

We manage equity through three key levers:

- **Balanced debt ratio:** Maintaining debt at 30–50% of total assets to ensure financial flexibility and control risk.
- **Share buybacks:** Actively repurchasing shares to optimize capital structure and improve ROE.
- **Consistent dividends:** Delivering stable returns to investors.

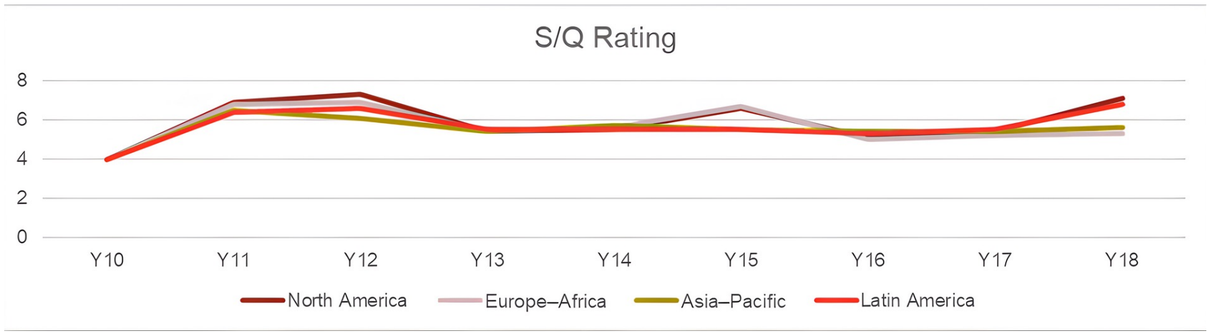




Divident Payment

Over the past 8 years, we've paid dividends consistently and **ranked #2** in the industry — a strong signal of our commitment to shareholder value.

OPERATION STRATEGY



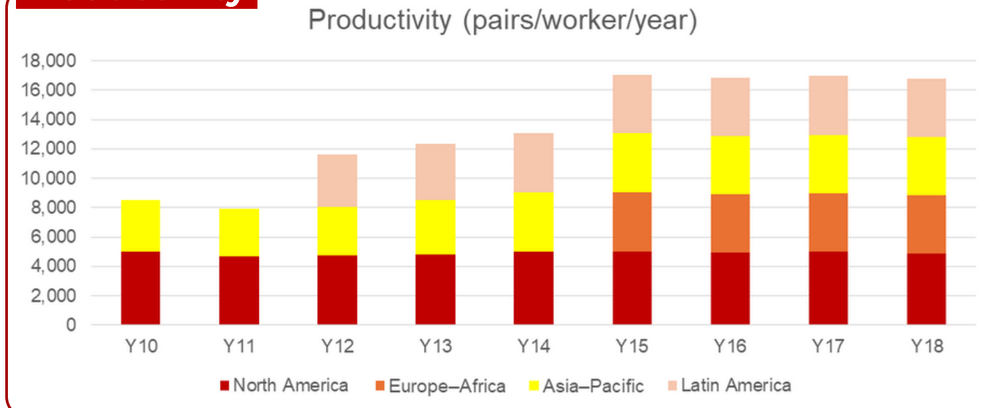
North America Europe–Africa Asia–Pacific Latin America

Our operation strategy focused on **early factory investment across all regions to reduce production costs, avoid tariffs, and improve delivery speed.**

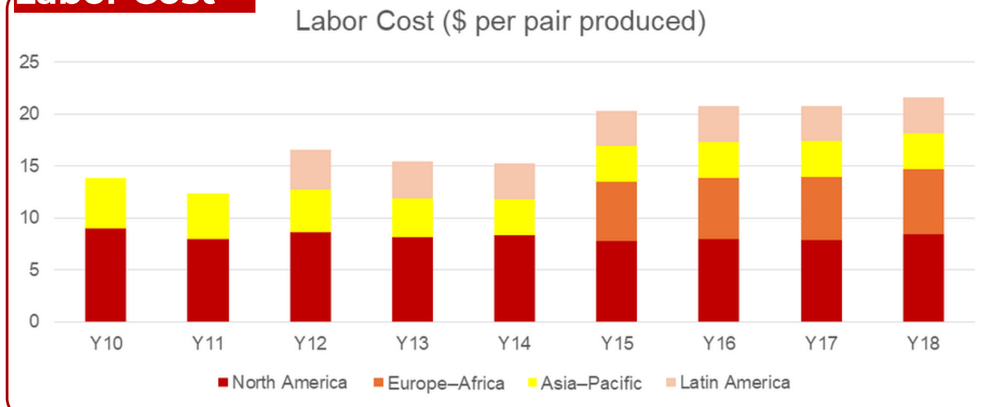
- Enhanced flexibility and market reach
- Production capacity expanded while labor and production costs declined.
- Each new factory led to higher revenue and net profit, proving the efficiency of our operational decisions.

This strategy **strengthened our cost advantage and supported long-term competitive growth.**

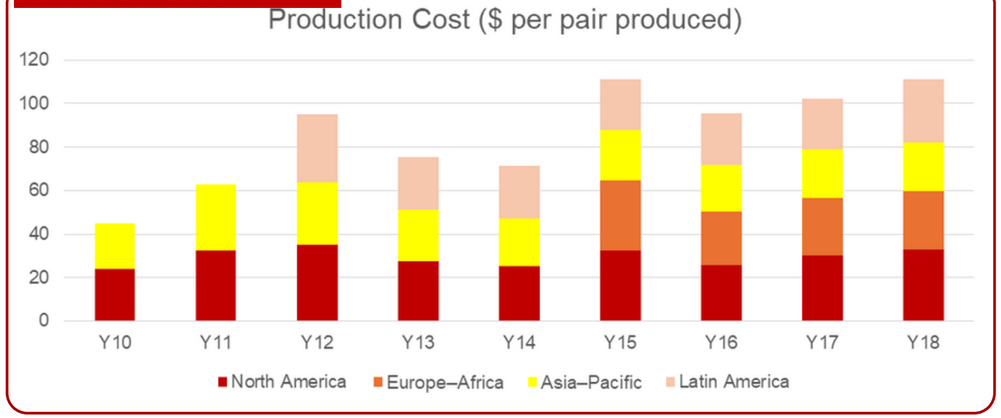
Productivity



Labor Cost



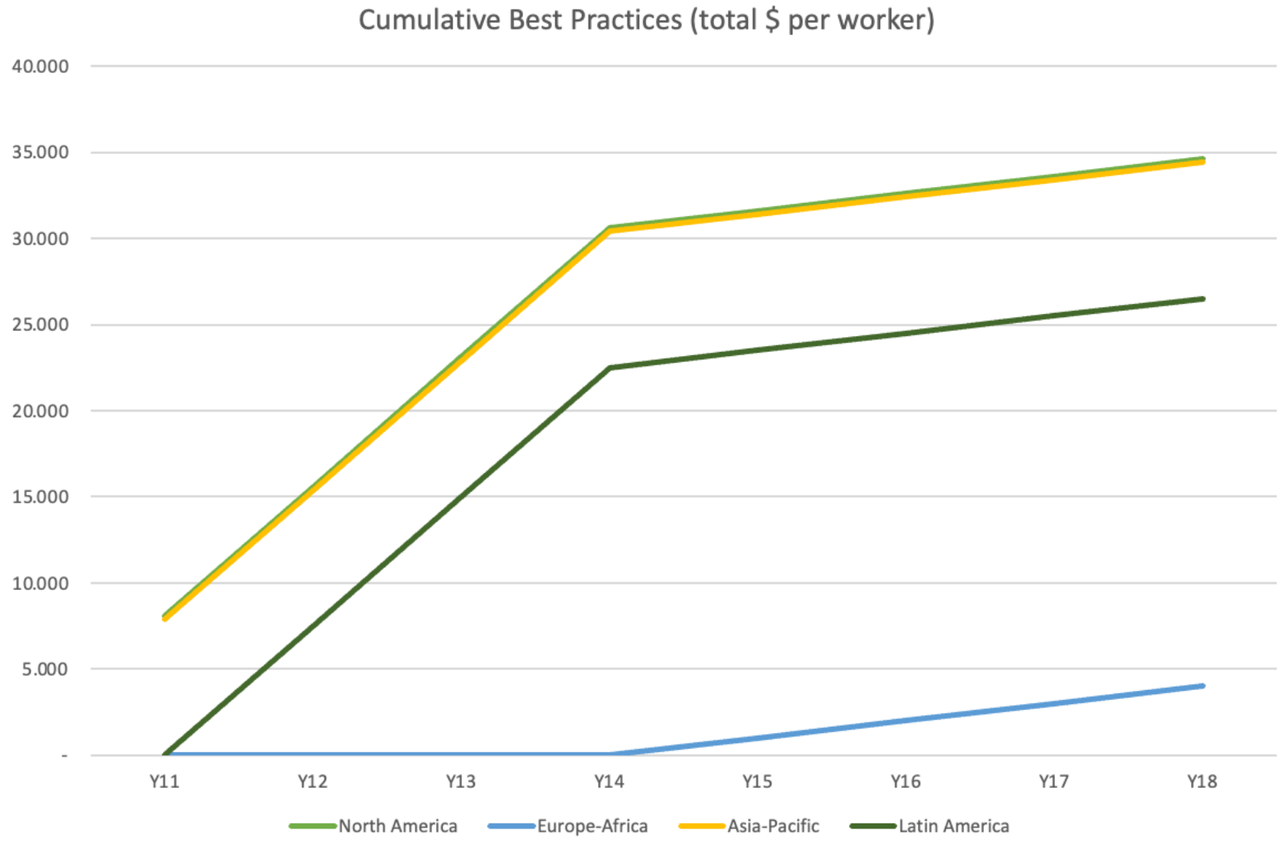
Production Cost



HR STRATEGY

Year	Base Wage (% change)	Supervisory ratio	Incentive Pay ($/pair)	Fringe Benefits ($/year)	Supervisor Compensation	Best Practices ($/worker)
Y11	+ 2%	40:1	$0.00	$0	+ 1%	+ $7,500
Y12	+ 2%	40:1	$0.00	$0	+ 1%	+ $7,500
Y13	+ 2%	40:1	$0.00	$0	+ 1%	+ $7,500
Y14	+ 2%	40:1	$0.00	$0	+ 1%	+ $7,500
Y15	+ 1%	40:1	$0.00	$0	+ 1%	+ $1,000
Y16	0%	40:1	$0.00	$0	+ 1%	+ $1,000
Y17	0%	40:1	$0.00	$0	+ 1%	+ $1,000
Y18	0%	40:1	$0.00	$0	+ 1%	+ $1,000

HR policy focused on stable costs and consistent supervision, maintaining efficiency without incentive-based pay



Branded Reject Rate:

- North America: **Y11**: 4.2% → **Y18**: 5.3%
- Europe-Africa: **Y15**: 5.6% → **Y18**: 8.5%
- Asia Pacific: **Y11**: 8.8% → **Y18**: 5.5%
- Latin America: **Y12**: 7.3% → **Y18**: 3.5%

Total: Y11: 6.9% → **Y18**: 5.7% (decreased by 1.2 percentage points)

Early training investment significantly reduced defects and improved overall product quality.

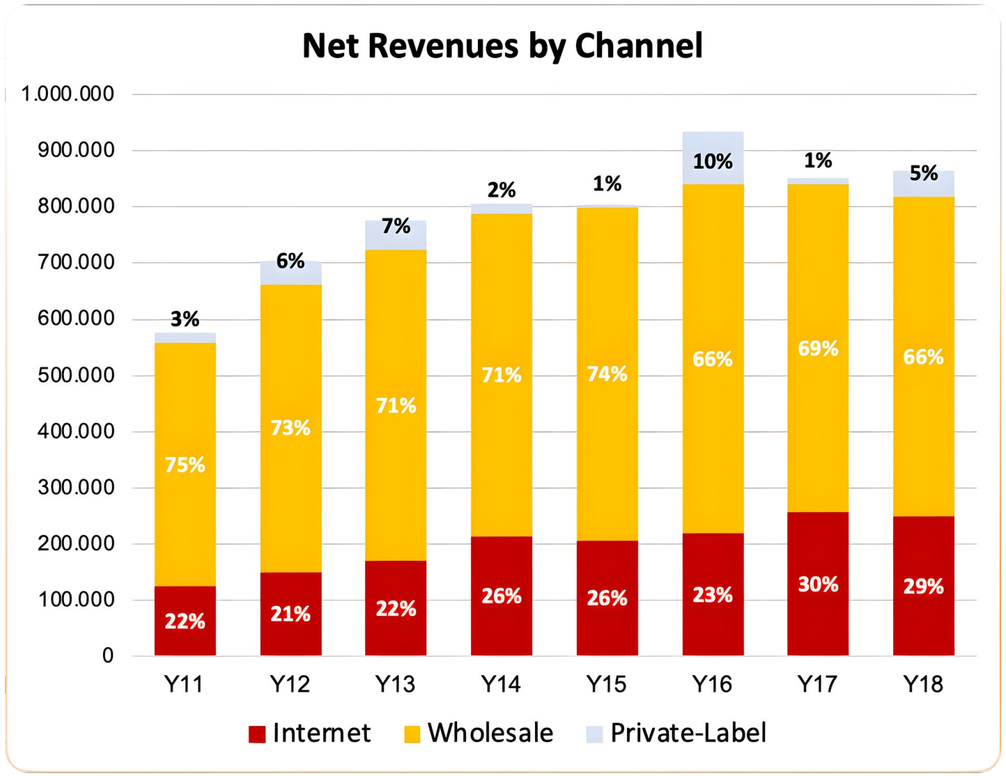
MKT AND SALES STRATEGY

Low-Cost Focused Strategy

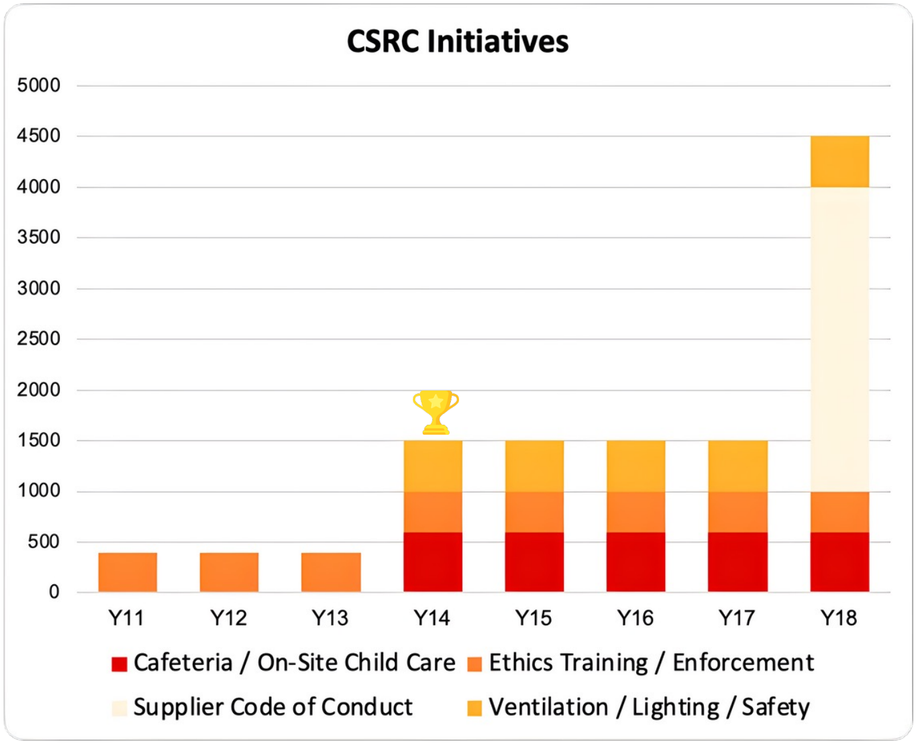
Prioritizes spending efficiency and avoids celebrity endorsements.

Early Phase: Focused on digital and wholesale marketing, aligning with industry trends when competitors also had limited investment in celebrity marketing.

Later Phase: Maintained a **digital-first** approach - marketing expenses gradually increased but remained tightly controlled to **prevent overdraft** from excessive celebrity spending.







- Maintained minimal CSR investment to **ensure compliance.**
- Marked the **"Winning Year"** expanding investment into cafeteria and safety initiatives to demonstrate commitment to employee welfare.
- Boosted CSR spending to $3,000K to raise the company's image rating and strengthen its sustainable brand reputation.

STRATEGIC VISION

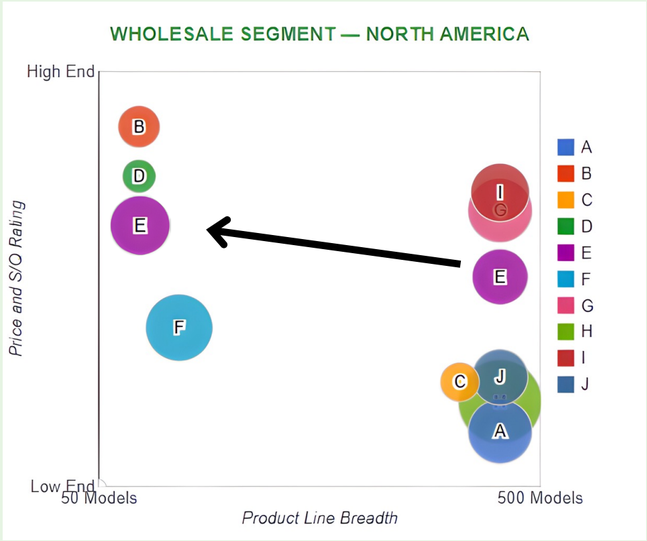
Current and ongoing commitment

Mid-tier (Plus) positioning
(S/Q: 5.5 - 7.0)

Consistent dividend payouts
Delivering stable value to shareholders

Coming Changes

Strategic Shift: High-End Product Focus in North America



Rationale

- High labor costs make mass-market production less profitable.
- High-end product (few models, high S/Q) offer better margins and faces limited competition.

Expected Outcome

- Improved profitability and Build brand image

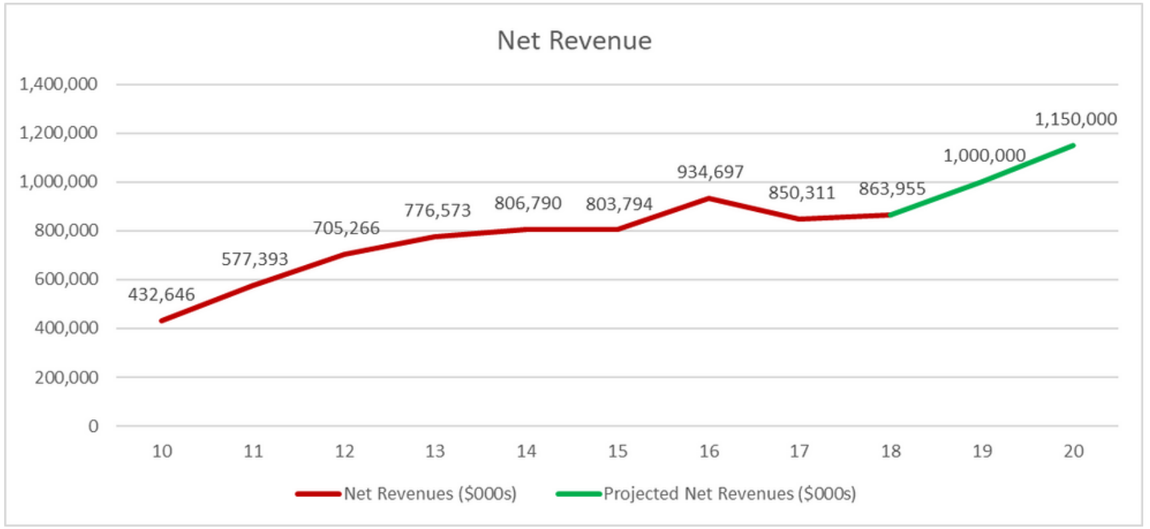
PERFORMANCE TARGETS

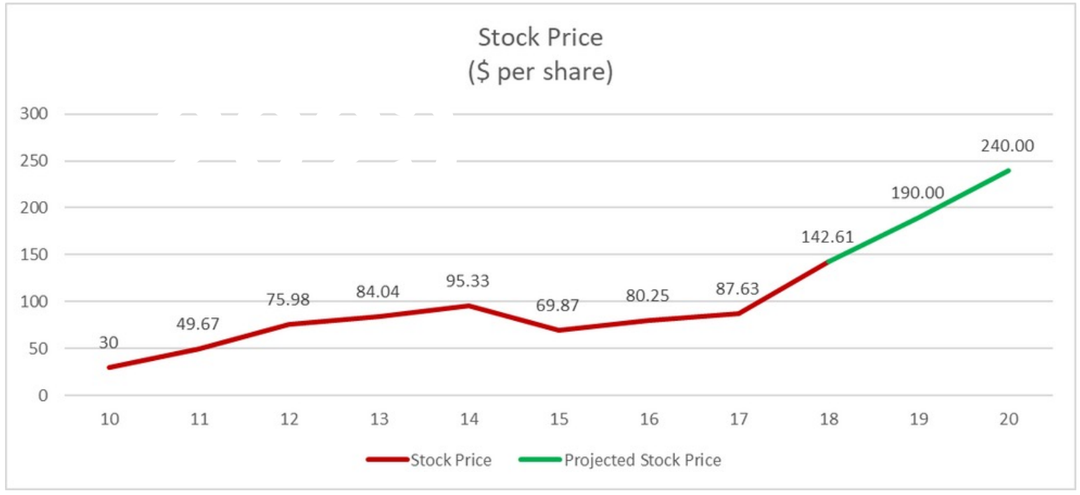
PERFORMANCE DRIVERS FOR NEXT 2 YEARS

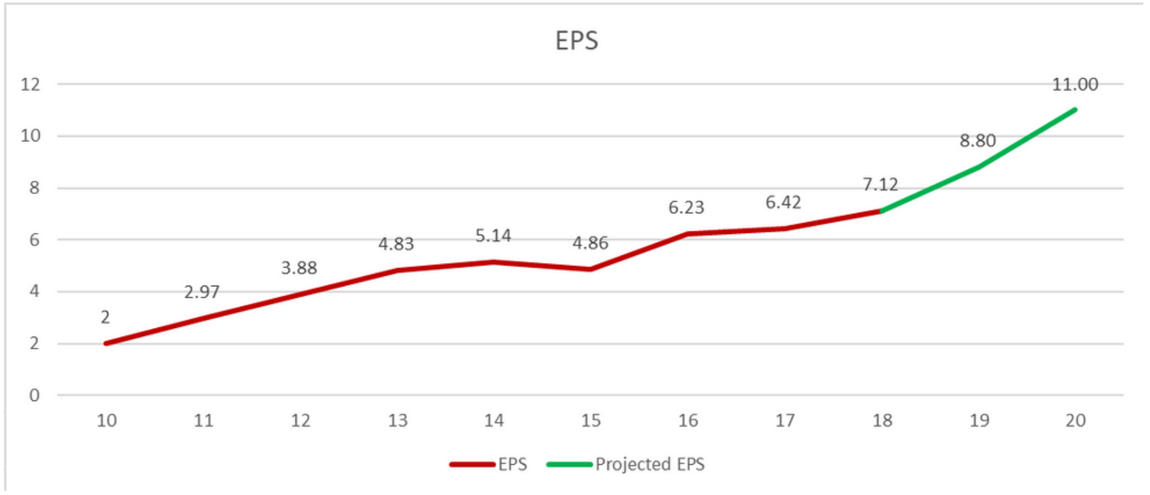
Net Revenue: Introduction of higher-value products in North America, and focus on wholesale production and internet market channels.

EPS: Increase supported by strong revenue growth momentum and optimized operational costs to improve margins.

Stock Price Maintain stable dividend policy, leverage EPS growth expectations, and implement share buyback programs to enhance investor confidence.







CLOSEST COMPETITORS

Branded Footwear

Price Hierarchy: E consistently positions in premium-mid tier, while H anchors the low-price end.

Quality Differentiation: S/Q improved from 5.1 → 6.2 ★; C stagnant (≈4 ★); H remains lowest (<4 ★).

Market Share: H holds largest volume (~11–13%), but E closes gap to ~10%; C declines (<7%).

Strategic Implication: The market is split between a mid-premium (E), and a low-end at (H) & (C). Company (E) **should continue its differentiation** via innovation and brand experience.

Year	Company	Avg. Retail Price ($/pair)	Avg. S/Q Rating (★)	Models Available	Avg. Market Share (%)	Global Position vs Industry Avg.
Y16	C	~98	4.1 ★	~445	≈ 7.0	Below avg (−1.0 ★)
	E	~105	5.1 ★	500	≈ 7.7	Near avg (+0.2 ★)
	H	~92	3.6 ★	500	≈ 9.4	Below avg (−2.5 ★)
Y17	C	~98	4.2 ★	450	≈ 6.2	Below avg (−2 ★)
	E	~104	5.4 ★	500	≈ 9.8	Slightly above avg (+0.4 ★)
	H	~75	4.2 ★	500	≈ 13.2	Below avg (−1.5 ★)
Y18	C	~101	4.4 ★	~450	≈ 6.5	Below avg (−1.8 ★)
	E	~108	6.2 ★	500	≈ 10.0	Above avg (+0.5 ★)
	H	~79	3.9 ★	500	≈ 11.5	Below avg (−2.0 ★)

CLOSEST COMPETITORS

Private Label

Year	Company	Offer Price Range ($/pair)	Avg. S/Q Rating	Avg. Pairs Sold (000s)	Regions Active	Global Market Share (%)	Participation
Y16	A	0	0	0	0	0	❌
	B	24.7–29.8	5	~860	4	~20.0 each region	✅
	C	0	0	0	0	0	❌
	D	25.9–29.5	5	~870	4	~20.0	✅
	E	**25.2–29.8**	**5**	**~865**	**4**	**~19.9**	✅
	F	28.0–32.0	5	~850	3	~20.0	⚠️ partial
	G	25.9–29.4	5	~868	4	~20.0	✅
	H	30.9–31.0	5	~780	1	~18.7	⚠️ limited
	I	30.1–32.4	5	0	0	0	❌
	J	25.9–31.5	5	~840	3	~20.0	✅
Y17	A	0	0	0	0	0	❌
	B	24.3–29.2	5	~870	4	~19.5	✅
	C	0	0	0	0	0	❌
	D	24.6–29.6	5	~950	4	~20.0	✅
	E	**27.8–30.0**	**5**	**~330**	**1**	**<10.0**	⚠️ **minimal**
	F	26.4–31.0	5	~870	2	~20.0	⚠️ partial
	G	23.9–28.9	5	~950	4	~20.0	✅
	H	23.9–28.6	5	~940	4	~20.0	✅
	I	24.5–29.7	5	~940	4	~20.0	✅
	J	0	0	0	0	0	❌
Y18	A	0	0	0	0	0	❌
	B	27.9–29.8	5	~1,000	4	~20.0	✅
	C	0	0	0	0	0	❌
	D	28.0–30.0	5	~1,010	4	~20.0	✅
	E	**28.1–30.2**	**5**	**~1,000**	**4**	**~19.9**	✅
	F	0	0	0	0	0	❌
	G	27.8–29.9	5	~1,010	4	~20.0	✅
	H	28.0–30.0	5	~1,010	4	~20.0	✅
	I	0	0	0	0	0	❌
	J	0	0	0	0	0	❌

Consistent Core Players

Across all 3 years and 4 regions, the true global private-label competitors are B, D, E, G, and H.

These 5 firms maintain bids, stable quality (S/Q = 5.0), and max market share caps (~20%) every year.

COMPETITIVE STRATEGY

Branded Footwear

Region	Key Strategy	Tactical Actions
EU-AF	**Defensive Strategy by Enhancing Perceived Quality and Strengthening Brand Value**	· Lift **S/Q Rating** from 6.0 to 6.5 via higher material cost & training · Increase **Advertising** by acquired celebrities and **Retail Support** selectively in EU-AF
NORTH AMERICA	**Strategic Transition to High-End Products with Low Model to Capture New Markets**	· Buy option C to increase the S/Q star · Focus on high-margin products and utilize any excess capacity for private label production
APAC **LATIN AMERIC**	**Use Influencer & Brand Endorsement to Market Penetration**	Acquired 1–2 celebrity contracts with medium popularity to improve sales performance and market share

Private Label

Timeframe	Key Strategy	Tactical Actions
Focused on NA, APAC & LATIN	**Minimum Acceptable Price Strategy**	Check last year's historical prices. Set a price based on the desired target margin for bidding. Focus on other channels if margins on private label are too low.

LESSONS LEARNED

What should do

Analyze the market regularly: Monitor competitors, macro trends, pricing & S/Q changes.

Set clear annual targets & prioritize key investments: Focus resources on high-impact goals.

Learn from mistakes: Review what went wrong and adjust strategies.

Invest in innovation: Improve production, training, and marketing to stay competitive.

What to Avoid

Overspend: Avoid reckless expansion or unnecessary investments.

Neglect data: Always make data-driven decisions.

THANK YOU

SHAREHOLDERS

EDIDUS

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